

Sinhyeong Cho

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EDUCATION

McGill University Desautels Faculty of Management Ph.D. in Finance	09/2021 – present
Korea University Korea University Business School M.S. in Finance	03/2018 – 02/2020
University of Seoul University of Seoul Business School B.B.A	03/2012 – 02/2018

RESEARCH INTERESTS

Empirical Corporate Finance, Corporate Governance, Mergers and Acquisitions, Asset Management, Sustainability

RESEARCH

Job Market Paper

Strategic Responses to Portfolio Reallocation: Evidence from Dividends

Abstract: To attract investor capital, firms adjust dividends to satisfy investors' preferences. Yet investors rarely reallocate their capital. When, then, do firms adjust dividends? This paper shows that firms strategically increase dividends when shareholders reconsider their portfolios. I identify such periods using large mutual fund flows, which are associated with more discretionary trading. Firms exposed to large flows significantly increase dividends. The response is symmetric across inflows and outflows, and announcements follow in the quarter immediately after large flows, consistent with firms timing payout to windows of reallocation. A difference-in-differences design exploiting the introduction of Morningstar Sustainability Ratings supports causality. The effect is stronger among firms with high income fund ownership, consistent with catering. Funds subsequently favor firms that raise dividends following both inflow and outflow shocks. These findings highlight a strategic interaction between firms and their investors around periods of portfolio reallocation.

Presented at: CSFN Conference (2026), McGill University (2026)

Working Paper

The Threat of Takeover and Employment: Evidence from International M&A Laws

Abstract: Do managers proactively restructure firm employment when they face with the threat of takeover? Using a matched global sample with the staggered adoption of M&A laws, I find a significant decrease in employment after the implementation of M&A laws. Furthermore, this study finds that these layoffs contribute to an enhancement in firm valuation following the enactment of M&A laws. Cross-sectional analyses show that this effect is particularly pronounced in firms with severe free cash flow problems and in countries with weak shareholder protection. These results are consistent with the

idea that the threat of takeover serves as an external governance device, motivating managers to reduce inefficient employment. Additional findings show that employment protection tend to undermine the effects of the threat of takeover on employment.

Work in Progress

Investor ESG Demand and M&A Matching: Evidence from ESG Fund Flows

Abstract: This paper investigates how exposure to ESG capital flows in financial markets shapes M&A matching. Using a firm-level measure of ESG fund flow exposure, I find that acquirers merge with targets possessing higher ESG flow exposure than themselves. To identify the underlying motive, I test three hypotheses: cost of capital, signaling, and greenwashing. Post-merger results show no significant increases in ESG ownership, external financing, or ESG ratings. These findings provide support for greenwashing, rejecting the cost of capital and signaling views. The effect is particularly pronounced among underperforming managers. This suggests the possibility that they utilize ESG-related M&As as symbolic window-dressing to appease stakeholders and keep their positions.

OTHER WORK

Case Study

BlackRock Inc.: Climate Risk and Anticompetitive Concern

2026 McGill Desautels Business Ethics Case Competition

TEACHING EXPERIENCE

McGill University	2024
Lecturer, Applied Corporate Finance	

McGill University	2022 – 2025
Teaching Assistant, Mergers and Acquisitions	

Korea University	2021
Teaching Assistant, Financial Institutions Management	

Korea University	2021
Teaching Assistant, Options and Futures	

FELLOWSHIPS AND AWARDS

- Doctoral Fellowship, McGill University, 2021 – 2026
- KUBS Research and Teaching Assistance Scholarships, Korea University, 2018 – 2021
- Undergraduate Research and Teaching Assistance Scholarship, University of Seoul, 2017
- Scholarship for Academic Excellence, University of Seoul 2016 – 2017

ADDITIONAL INFORMATION

Programming: SAS, Stata, Python, R, Latex

Languages: Korean (native), English (fluent), French (beginner)

Citizenship: Korean

REFERENCES

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